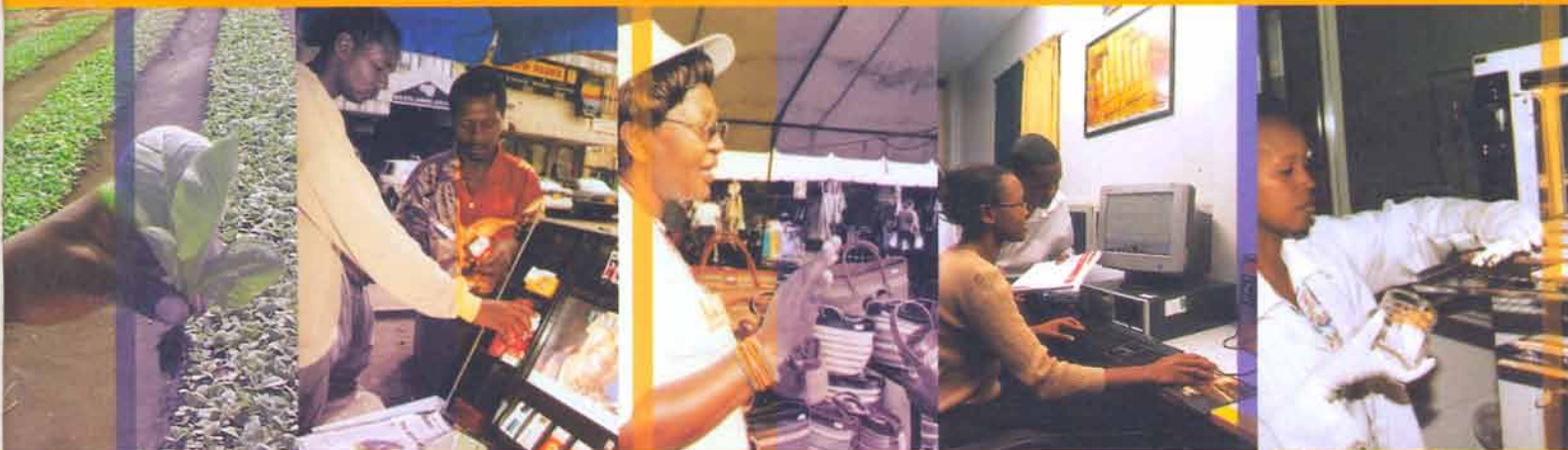




BRITISH AMERICAN
TOBACCO
KENYA



Annual Report and Financial Statements **2004**

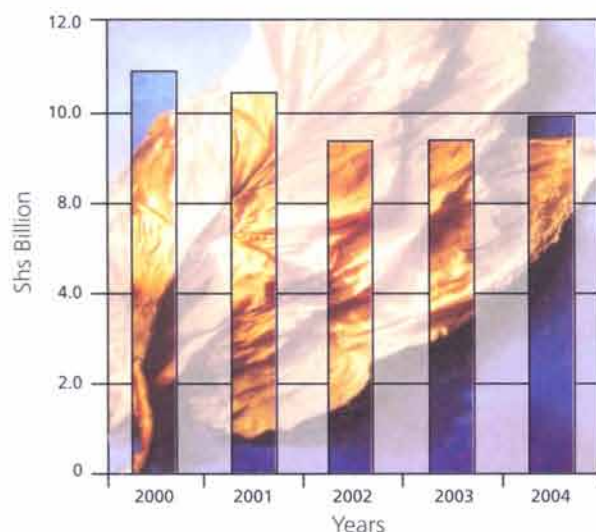
Annual Review & **Highlights 2004**

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Graphical Highlights 2004

Gross Turnover



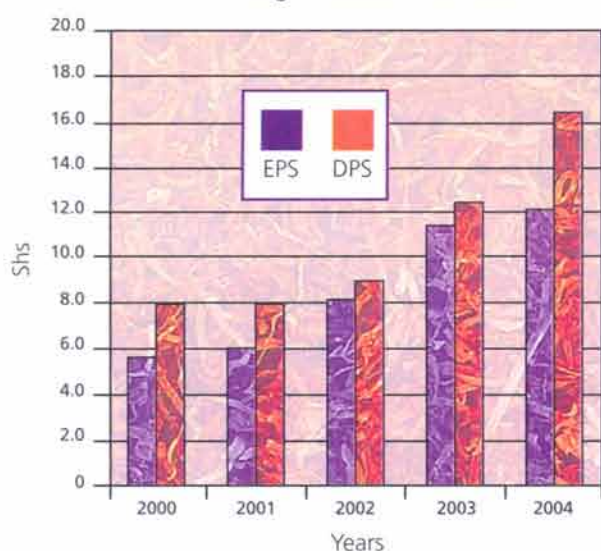
Gross turnover increased by 4% to Shs 9.9 billion

Profit before Income Tax



Profit before income tax increased by 4% to Shs 1.75 billion

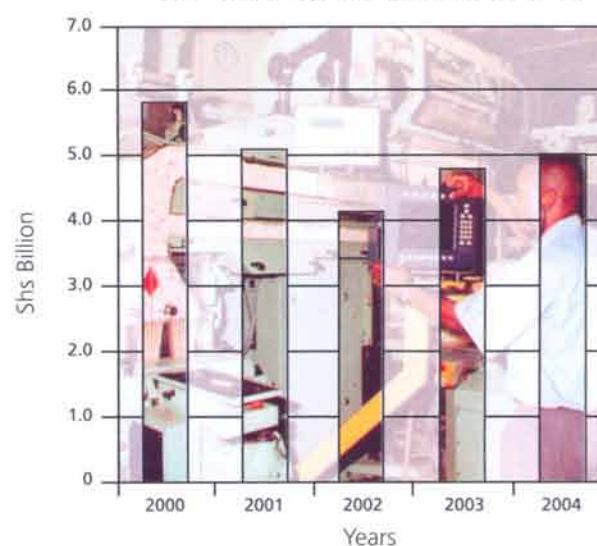
Earnings/Dividend Per Share



Total dividend payout increased by 32% to Shs 1.65 billion

Basic earnings per share increased by 6% to Shs 12.10 per share

Contribution to Government Revenue



Contribution to government revenue increased by 6% to Shs 5 billion

Board of Directors

from Left; **Allan Ngugi** Non - Executive Director, **Philip Lopoko** Finance Director,
Michael Wanyoike Non - Executive Director, **Leonardo Morales** Non - Executive Director*,
Keli Kiilu Corporate & Regulatory Affairs Director, **Evanston Mwaniki** Chairman,
Ruth Ngobi Company Secretary, **Chris Burrell** Non - Executive Director,
Harris Mule Non - Executive Director, **Simon Welford** Managing Director,
Prof. Joseph Kimura Non - Executive Director,

* Appointed Non - Executive Director on 11 March 2005.





Notice of Annual General Meeting 2005

NOTICE IS HEREBY GIVEN that the Fifty-Third Annual General Meeting of British American Tobacco Kenya Limited will be held in the Ball Room, Hotel Intercontinental, Nairobi on Tuesday, 26 April 2005 at 11.00 a.m. for the following purposes:-

ORDINARY BUSINESS

1. To receive and consider the Accounts for the year ended 31 December 2004 and the Reports of the Directors and Auditors thereon.
2. To declare a dividend.
3. To elect Directors:
 - (i) Mr. L Morales who was appointed by the Board on 11 March 2005 retires in accordance with Article 95 of the Articles of Association and being eligible, offers himself for re-election.
 - (ii) Mr. H M Mule retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
 - (iii) Prof. J H Kimura retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
 - (iv) Mr. A N Ngugi retires by rotation and being eligible offers himself for re-election in accordance with Article 89 of the Articles of Association.
4. To authorise the Directors to fix remuneration of the Auditors, PricewaterhouseCoopers.

18 March 2005
Likoni Road,
P. O Box 30000-00100
Nairobi

By Order of the Board
R T Ngobi (Ms.)
Company Secretary

NOTES:

1. Any Member who is entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his stead. Such proxy need not be a member of the Company.
2. A proxy form is provided with this report. Shareholders who do not propose to be at the Meeting are requested to complete and return the form to the Registered Office of the Company so as to arrive not later than 2:30 p.m. on Monday, 25 April 2005.



Chairman's Review **Taarifa ya Mwenyekiti**



Evanson Mwaniki
Chairman

BUSINESS ENVIRONMENT

Kenya's economic recovery continued in 2004 supported mainly by growth in key sectors including agriculture, tourism, transport & communications. The overall annual inflation averaged 12%. A low interest environment prevailed throughout 2004 leading to expansion of credit to the private sector. Personal loans aggressively marketed by commercial banks were invested in housing, small businesses and capital goods all of which had a positive impact on the economy. According to Central Bank statistics, economic indicators show GDP expanded by an estimated 2.6% compared to 1.4% in 2003.

Economic activity increased during the first quarter of the year before slackening between May through September as a result of pro-longed drought and rising oil prices. The economy, however, picked momentum in the last quarter of 2004 following the on-set of the short rains and the rapid growth in tourism. Rural economies recorded an increase in trading boosted by the moderate revival of the agriculture sector.

In the tobacco sector, improved enforcement of the specific excise tax regime implemented in the previous year, made it difficult for unethical players to operate. The excise system continued to yield higher tax revenues for the Exchequer while helping to level the playing field for responsible manufacturers.

MAZINGIRA YA KIBIASHARA

Kufufuka kwa uchumi wa Kenya kuliendelea kukua mwaka wa 2004, hasa kukiungwa mkono na ukuaji wa sekta muhimu za kiuchumi zikiwemo Kilimo, Utalii, Uchukuzi na Mawasiliano. Kwa ujumla kiwango cha gharama ya maisha kilifikia asilimia 12 wastani. Riba iliendelea kuwa ya kiwango cha chini kwa mwaka mzima wa 2004, hali iliyowezesha kupanuliwa kwa shughuli za utoaji mikopo kwa sekta ya kibinafsi. Mikopo ya kibinafsi iliyotolewa zaidi na benki za kibiashara ilielekezwa katika uwekezaji wa nyumba, biashara ndogo ndogo na bidhaa kubwa na kuwa umuhimu mkubwa katika kuimarisha uchumi wa nchi. Kulingana na takwimu za Benki Kuu, hali hiyo ya kiuchumi ilionyesha kuwa pato la Taifa liliongezeka kwa asilimia 2.6 ikilinganishwa na asilimia 1.4 mwaka wa 2003.

Shughuli za kiuchumi ziliongezeka wakati wa kipindi cha robo ya kwanza ya mwaka huo kabla ya kudidimia tena kati ya mwezi Mei hadi mwezi Septemba kufuatia kipindi kirefu cha ukame na ongezeko la bei ya mafuta. Uchumi hata hivyo ulianza kuimarika tena na kuendelea kukua katika robo ya mwisho ya mwaka 2004 kufuatia kuanza kwa mvua za vuli na ukuaji wa haraka wa sekta ya utalii. Chumi za maeneo ya mashambani ziliendelea kuimarika katika biashara kutokana na ongezeko la shughuli maalum za mapato na ufufuzi wastani wa sekta ya kilimo.

Kuimarika kwa utekelezaji wa shughuli za ukusanyaji kodi maalum mwaka uliotangulia kulifanya kuwa vigumu kwa washiriki wa kibiashara wasiozingatia maadili kuendesha shughuli zao. Ukusanyaji kodi hii uliendelea kuleta mapato zaidi ya ushuru kwa wizara ya Fedha na kusaidia pia kuweka kiwango sawia cha utekelezaji shughuli katika sekta ya tumbaku.

BIASHARA

Kwa kuchochewa na ufufuzi unaoendelea wa sekta mbali mbali za kiuchumi na kuweko kwa bei thabiti, soko la tumbaku hapa nchini kwa ujumla liliendelea kuongezeka kwa asilimia 5 mwaka wa 2003. Mauzo ya kampuni yaliendelea kukua kulikowezeshwa na kubuniwa kwa bidhaa za aina mpya na kuleta ongezeko la asilimia 9 ya biashara yetu. Biashara yetu iliendelea kukua hadi kufikia asilimia 76.





Chairman's Review **Taarifa ya Mwenyekiti**

PERFORMANCE

Spurred by the ongoing revival of the economy and price stability, the overall domestic tobacco market stabilised following several years of decline. Company sales however, registered good growth led by our drive brands which recorded an increase of 9% in volume. Our share of market continued to grow closing at 76%.



One of the state-of-the-art hinge lid packing machines

RESULTS

Gross turnover stood at Shs. 9.86 billion and was 4% higher than in 2003. Likewise, pre-tax income increased by 4% to Shs 1.75 billion reflecting the impact of higher volume sales.

STRATEGY

In marketing, the key strategy was "Going for Growth". Promotional activities were carried out to drive both our volume and value share of the market. Sportsman sustained the community based brand

promotion, dubbed "Jenga Jina" in which part of the prize money went towards the development of a community project chosen by the winner. Motorcycles, trolleys and other distribution tools were deployed as the company focused on distribution of its brands nationwide.

In Leaf growing, partnership with Stancom Kenya realised higher volumes as the company opened up growing in new areas. Contract manufacture of export brands will increase volumes at the Nairobi factory by 40% boosting volumes and increasing revenue for the business.

BUSINESS PRINCIPLES

Our objective is to build long-term shareholder value by meeting consumers' preferences for high quality tobacco products. However, we believe that by absorbing and balancing a wider range of expectations, we are best placed to continue building a sustainable tobacco business. The ever increasing socio-economic expectations of a responsible company calls for us to demonstrate high standards of corporate conduct. To help meet these challenges, we developed the Statement of Business

MATOKEO

Pato letu lilifikia shilingi bilioni 9.86 na liliongezeka kwa asilimia 4 zaidi kuliko mwaka wa 2003. Vile vile, mapato kabla ya kutozwa kodi yaliongezeka kwa asilimia 4 hadi kufikia shilingi bilioni 1.75 na kudhihirisha ongezeko la juu la mauzo na kuimarika kwa biashara.

MBINU

Katika uuzaji, mbinu muhimu ilikuwa "Kufikia Ukuaji". Shughuli za kutangaza bidhaa zetu zilitekelezwa kwa kuzingatia thamani na uuzaji wa kiwango kikubwa. Matangazo ya sigara aina ya Sportsman hasa yalinuwa jamii na yaliitwa "Jenga Jina" ambapo sehemu ya pesa hizo zilisaidia kustawisha mradi wa jamii ambao mshindi aliuchagua. Pikipiki, viberenge na vifaa vingine vilitolewa huku kampuni ikizingatia ugawaji wa bidhaa zenye thamani na za kiwango kikubwa. Matangazo mengine yalifanywa kote nchini kuimarisha mauzo ya kibiashara na kuunga mkono baadhi ya aina mbali mbali za bidhaa zetu – Embassy na Benson & Hedges.

Katika ukuzaji tumbaku, ushirikiano na kampuni ya Stancom Kenya uliongeza kiasi cha mavuno ya tumbaku iliyokuzwa sehemu mpya. Sigara zinazotengenezwa kuuzwa masoko ya nje, zitaongezeka kwa asilima 40, na kuleta mapato zaidi kwa kampuni.

MALENGO YA KIBIASHARA

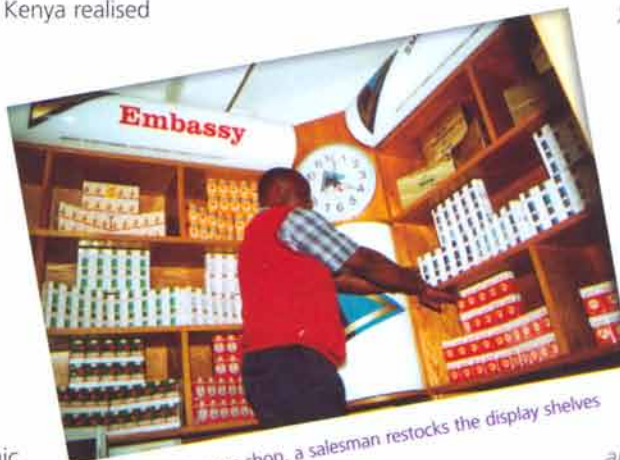
Lengo letu ni kuimarisha thamani ya wenye hisa wetu kwa muda mrefu kwa kutimiza mahitaji ya wanunuzi kwa kupata bidhaa za tumbaku za hali ya juu. Hata hivyo, tunaamini kwamba kwa kuchukua na kuwianisha viwango vikubwa vya matarajio yetu, tuko pahala bora zaidi pa kuendelea kujenga na kuidumisha biashara ya tumbaku. Ongezeko lililoko la matarajio ya kijamii na kiuchumi la kampuni iliyowajibika lahitaji sisi sote kuonyesha viwango vya juu vya hadhi yetu kama kampuni.

Ili kusaidia kutimiza majukumu haya tulianzisha taarifa hii ya malengo ya kibiashara kwa ushauri wa Mameneja wa biashara zetu na vile vile washirika dau wetu wa nje. Malengo ya kibiashara

na imani yetu yanahusu maswala muhimu ambayo tunaamini yanagusia jukumu la kijamii la kampuni. Kuna malengo matatu ya kibiashara, manufaa ya pande zote mbili, huduma muhimu ya bidhaa na hadhi bora ya kampuni,

ambapo kila moja

inaungwa mkono na imani fulani inayoelezea kile tunachofikiria kuwa hatua kuu kwa undani zaidi. Kwa pamoja, haya yote yanabuni msingi



At a distributors shop, a salesman restocks the display shelves

Chairman's Review **Taarifa ya Mwenyekiti**

Principles in consultation with managers from our businesses, as well as with external stakeholders. The Business Principles and Core Beliefs cover the key issues that we believe underpin Corporate Social Responsibility (CSR).

There are three Business Principles, **Mutual Benefit, Responsible Product Stewardship and Good Corporate Conduct**, each of which is supported by a number of Core Beliefs, which explain what we think the Principles mean in more detail. Together, these form the basis on which we expect our businesses to be run in terms of responsibility. The Principles were cascaded to all staff and are part and parcel of our corporate culture.

SOCIAL RESPONSIBILITY

The highlight of the Social Reporting process was the launch of the "Report to Society", making us pioneers in Kenya. The Report reflected views from stakeholders regarding the way we do business, our ethical, social and environmental performance. The process entailed dialogue meetings with suppliers, farmers, NGO's Government, employees, trade partners and consumers. The historic launch of the report in June 2004 was attended by representatives of a cross section of your company's stakeholders who took part in the dialogue sessions. Through this process, British American Tobacco Kenya seeks to engage constructively with its stakeholders in collectively addressing the various issues raised about our business, environmental and social performance.

CORPORATE GOVERNANCE

As part of the British American Tobacco family, we subscribe to the Group's corporate governance policies and in tandem with this we have continued to espouse the guidelines of the Capital Markets Authority.

DIVIDEND

We are pleased to report that our company maintained a strong financial position in the year 2004. The Board of Directors recommends a final dividend of Shs 4.50 per Shs. 10 ordinary share. When added to the interim dividends paid in the course of 2004, this brings the total to Shs. 16.50 per share, a record dividend per share. The dividend payment is subject to withholding tax and will be paid on 26 April 2005 to the shareholders on the share register at the close of business on 12 April 2005.

tunaotarajia kuwa biashara yetu inaendeshwa kwa kuzingatia wajibu tulio nao. Malengo haya yalitolewa kuzingatiwa kwa bidii na wafanyikazi wetu na kama sehemu ya jukumu letu kuu kama kampuni.

WAJIBU WA KIJAMII

Maagazio ya mpango wa kufahamisha jamii yalikuwa kuzinduliwa kwa taarifa iliyojulikana kama "Fahamisha Jamii", iliyotuwzesha kuwa wa kwanza hapa Kenya. Taarifa hiyo ilielezea maoni kutoka kwa washirika dau wetu kuhusiana na jinsi tunavyoendesha biashara yetu, shughuli zetu za kimaadili, kijamii na kimazingira. Mpango huu ulihusisha mikutano ya mashauri na wagawaji bidhaa, wakulima, mashirika yasio ya serikali, wafanyikazi, washirika wa kibiashara na wanunuzi. Shughuli ya uzinduzi huu wa kihistoria wa taarifa hii mwezi Juni mwaka wa 2004 ilihudhuriwa na waakilishi wa washirika dau mbali mbali wa kampuni ambao walishiriki katika vikao vya mashauri. Kupitia mpango huu, Kampuni ya British American Tobacco Kenya inataka kuwahusisha kikamilifu washirika dau katika kushughulikia maswala mbali mbali yaliyogusiwa kuhusu biashara yetu na shughuli zetu za kijamii na mazingira yetu.

USIMAMIZI WA KAMPUNI

Kama sehemu ya familia ya kampuni ya British American Tobacco, tunahusishwa kwenye maongozi ya usimamizi wa kampuni na kuambatana na maongozi haya tumeendelea kuunga mkono maongozi ya Halmashauri ya Masoko ya Hisa.

MGAO WA FAIDA

Tunafuraha kuripoti kwamba kampuni yetu iliendelea kudumisha mtiririko wenye nguvu wa kifedha katika mwaka wa 2004. Halmashauri ya wakurugenzi ilipendekeza mgao wa mwisho wa faida wa shilingi 4.50 kwa kila hisa ya shilingi 10. Ukiongezewa mgao wa muda wa faida uliolipwa katika mwaka wa 2004, hii inafikisha jumla ya shilingi 16.50 ambayo ni juu mno kuwahi kulipwa. Mgao wa faida uliolipwa utatozwa kodi na utalipwa tarehe 26 aprili 2005 kwa wenye hisa na walioko kwenye sajili ya hisa wakati wa kufunga biashara tarehe 12 Aprili 2005.





Chairman's Review **Taarifa ya Mwenyekiti**

OUTLOOK

Future prospects for our business look promising given the level playing field prevailing in the industry, the anticipated growth of agriculture, manufacturing, construction and the revival of co-operative societies. Improvement of infrastructure and addressing insecurity should contribute significantly to a better operating environment. The ongoing socio – economic integration of the partner states in the East African Region presents great opportunities for the business especially with the commencement of the Customs Union.

Owing to increased demand for quality products in the region, export and contract manufacture sales are expected to continue the upward trend as more brands are moved into production in Kenya for regional markets.

Tobacco regulation has featured in the public forum since it was tabled in Parliament in October 2004. We have made our submissions to the relevant authorities and remain optimistic that through dialogue, a common approach to the issues will be the solution to regulation of the tobacco industry. We support the enactment of a realistic, workable and enforceable regulation that addresses health concerns whilst taking into account Kenya's socio- economic realities.

NEW DIRECTOR

I welcome to the board of British American Tobacco Kenya a new member, Mr. Leonardo Morales who joined as of March 2005. Leonardo joins the Board as a non-executive director. He replaces Luis Rapparini who resigned and leaves to take up another role in the Group. I wish to thank Luis for his contribution to the Board and success of our business.

The excellent results in 2004 would not have been achieved without the dedicated contribution of various stakeholders, in particular our employees who worked tirelessly as a team, our distributors and the government for creating a favourable environment. We are grateful to all stakeholders for their contribution and support. Thank You.

Evanson Mwaniki
Chairman

MTAZAMO:

Matarajio ya biashara yetu siku zijazo ni ya kutia moyo hasa ikizingatiwa kodi nafuu inayotozwa, matarajio ya kukua kwa sekta ya kilimo, utengenezaji bidhaa, ujenzi na ufufuzi wa vyama vya ushirika. Kuimarishwa kwa miundo msingi na kushughulikia maswala ya usalama kunapaswa kuchangia pakubwa ili kuwa na mazingira bora ya uendeshaji biashara. Muungano wa kijamii na kiuchumi unaoendelea wa mataifa washirika katika eneo la Afrika mashariki unatoa nafasi kubwa ya biashara hasa kufuatia kubuniwa kwa Muungano wa Forodha wa eneo hili.

Kufuatia ongezeko la mahitaji ya bidhaa bora katika eneo hili, uuzaji unatarajiwa kuendelea kukua huku aina mpya zaidi ya bidhaa zikitolewa hapa

Kenya kwa nchi za eneo la upembe wa Afrika.



Permanent Secretary Ministry of Foreign Affairs Amb. Peter Ole Nkuraiya admires a Maasai belt during the 2004 E.A. Jua Kali Exhibition held in Mombasa.

Sheria ya tumbaku imezungumziwa katika mihadhara ya umma tangu ilipowasilishwa bungeni kati kati ya mwaka 2004.

Tumewasilisha maoni yetu kwa maafisa wanaohusika na tunaendelea kuwa na matumaini kwamba kupitia mashauri, hatua ya pamoja kwa maswala haya italeti suluhisho kwa sheria ya sekta ya tumbaku. Tunaunga mkono kubuniwa kwa sheria wazi ifaayo ambayo itazingatia mahitaji ya kiafya huku pia ikitilia mkazo manufaa ya

kijamii na kiuchumi ya Kenya.

MKURUGENZI MPYA

Ninamkrabisha Bw. Leonardo Morales katika halmashauri ya kampuni ya British American Tobacco Kenya ambaye alijiunga nasi mnamo Machi mwaka wa 2005. Leonardo anajiunga kama mkurugenzi asiyendesha shughuli maalum za kampuni. Anachukua mahali pa Luis Rapparini ambaye amestaafu na anaondoka kuchukua wadhifa mwingine ng'ambo. Ningependa kumshukuru Luis kwa kuchangia kwake ufanisi wa biashara yetu.

Ningetaka kusema kwamba mafanikio yaliyopatikana hayangekuwepo bila ya mchango mkubwa wa wafanyikazi ambao juhudi zao na ushirikiano zimechangia pakubwa mno mafanikio yaliyogusiwa hapo juu. Walijitolea kuihudumia kampuni ya British American Tobacco Kenya na bidii yao kazini, kujitolea na hamu ya kukua na kufanya vizuri zaidi kazini imechangia pakubwa mafanikio haya. Nina washukuru nyote.

Evanson Mwaniki
Mwenyekiti

Managing Director's Report



Simon Welford
Managing Director

2004 Overview

2004 was a year of good progress for British American Tobacco Kenya. Turnover increased by 4% in a cigarette and tobacco products market that remained flat. Profit before tax increased by a similar 4% built upon stronger domestic volumes, increased productivity throughout the organisation and the continued expansion of contract manufacture.

We remain encouraged that the efforts undertaken by the Kenya Revenue Authority to enforce legislation on excise tax and enhance controls on exporting procedures are working. These efforts, which have seen some less reputable manufacturers cease business in Kenya in 2004, have levelled the playing field in the tobacco industry considerably.

With untaxed products in reduced supply and with fairer pricing between competitive brands, legitimate operators have benefited from stronger sales. Government revenues from the tobacco industry increased considerably compared to previous years due to these stronger enforcement measures.

Company share of the market continued to show very encouraging growth during the year, gaining three share points to close at 76% in December. All of our four drive brands; Benson & Hedges, Embassy, Sportsman and Safari showed encouraging performances and on a combined basis increased in volume by 9%. This is an important measure as these brands are the future source of profitability for our business in Kenya and have consistently been the focus for our marketing support over recent years. Our low price 'fighter' brand, Safari, continues to show very strong growth and has rapidly established itself as the cigarette of choice for the lower priced end of the market. Exports, principally to the Horn of Africa, remained strong during 2004.

Our strategy of moving new brands into contract manufacture in our Nairobi factory continued to progress well. Rothmans Royals and Benson & Hedges, leading brands in the markets of Somalia and Djibouti, entered into manufacture late in the year, under a contract manufacturing agreement with the trade mark owners. This followed the commissioning of a Shs 500m investment in new cigarette making and packing machinery that has enhanced our capacity for high quality manufacture.

The introduction of these new contract manufacture brands, together with brands migrated in 2003, will raise your company's total production by nearly 40% to an annual volume of over 7 billion sticks. This is a realisation of our objective of establishing our factory as a centre of manufacturing excellence for East and Central Africa. The selection of our Nairobi factory as the location to produce these brands is a complement to the quality and cost competitiveness of your business.

Our partnership with Stancom Tobacco Kenya, our long term partners, continued to evolve well in 2004. The total volume processed at our Thika Green Leaf Processing plant reached a record 22 million tonnes supported by an expansion of the total crop grown in Kenya under both British American Tobacco Kenya and





Stancom sponsorship. Our prices to farmers increased driven by the delivery of good quality tobaccos justifying our absolute focus on quality production in recent years. These grades of tobacco are used entirely for Kenya production to consistently improve the quality of locally manufactured brands.



A retailer re-stocks a branded cigarette dispenser.

The debate on tobacco control elicited diverse views after a Bill was tabled in the National Assembly late in 2004. We expect the Bill to be debated by Parliament in 2005. We are

optimistic that the

Government will give hearing to both sides of the debate as we continue to support balanced regulation of the industry. We will work together with the authorities with a view to delivering regulation that takes into account the views of all stakeholders. There is need to regulate the industry and we believe that an all inclusive approach would result in collective ownership of what will ultimately be good, workable legislation.

Your company's credit rating went a notch higher when Global Credit Rating Company ("GCR") upgraded British American Tobacco Kenya's domestic long term credit rating to AA+ (double A plus), from AA (double A) previously.

The rationale for this improvement is the sustained strong financial position of your company, improved working capital management and strong cash generation. Your company remains the highest independently credit rated corporate in Kenya.

June 2004, your company achieved yet other key milestone after being the first company in Kenya to publish a Social Report

based upon stakeholder dialogue. The Social Reporting process entailed wide stakeholder consultations to gather their views about our socio - economic, environmental and ethical performance. The objective was to understand our stakeholder concerns and address their expectations in a manner consistent with British American Tobacco's social responsibility initiatives. In our 'Report to Society', we made commitments to respond creatively to a number of the issues raised by our stakeholders; we look forward to doing so.

The good performance by your company in 2004 has enabled your Board of Directors to recommend a final Dividend of Shs. 4.50 per Shs 10 ordinary share. Together with interim dividends already paid, the total dividend per share for 2004 is Shs 16.50. This represents a 32 % increase above last year's dividend.

In a year of good results, I would like to thank the employees of your company for their hard work and continued dedication. I would also like to express our sincere gratitude to all our partners, stakeholders and shareholders for your continued support during 2004.

I am confident that with your continued encouragement and cooperation, your company will face the future with confidence and will remain on course to deliver its growth strategy in 2005.



Global Chief Operating Officer, Antonio Monteiro de Castro unveils a new production line at the Nairobi factory.

Leaf Growing

In the 2004 season, your company supported over 8,900 farmers who grew nearly 3.6 million kg's of green leaf tobacco. This earned the farmers over Shs 250 million in revenue. Quality drive initiatives saw an increase in farmer income by 3% over 2003. This follows the previous recorded increase of over 37% in 2003. The increase in income has generated more farmer interest in tobacco farming.

2004 was also the first year for Stancom Tobacco Kenya, the Company's long time export agent partners, to embark on the growing of Flue Cured type tobacco. This, as projected, contributed to an increase in total tobacco production in the country by over 12% and also resulted in the creation of over 80 permanent jobs within the sector. All the tobacco grown by Stancom Tobacco Kenya was processed through your factory at Thika.

Revitalisation of extension services commenced in 2003 to drive quality and yield which will in turn improve farmer income. Further, this led to marked reduction of staff to farmer ratio, thereby allowing for better interaction and dissemination of agronomical and general welfare skills to farmers. As a result there was an encouraging improvement in crop quality delivered by our farmers.

In the area of afforestation, more emphasis on survivability of the raised tree seedlings led to new initiatives. These involved the introduction of tree farmers,

and establishment of company managed woodlots. In 2005, our objective is to raise a total of 4.5 million tree seedlings to support our afforestation initiatives in leaf growing areas.

LEAF PROCESSING

The Thika Processing Plant processed a total of over 22 million tonnes of tobacco comprising of tobacco grown in Kenya, Uganda and D R Congo.

In order to improve on product yield and quality, a number of process improvements were carried out in the Plant. These resulted in an overall increase in productivity and quality of the product shipped to our customers.

The Plant continued to be a major source of seasonal employment within Thika town offering up to 2000 seasonal jobs during peak times.

Changes to the business model of Leaf operations have lead to an encouraging performance by this part of our business.

The main drivers of this good performance have been our focus on cost control, productivity and delivery of quality service to our customers.

Your company will continue to look into areas of improvement in order to maintain delivery of high quality and competitive tobacco to the core business and offer world class service to third parties.



Tobacco crop in a field in Mitunguu, Eastern Province.





Manufacturing & Supply Chain

MANUFACTURING

The year 2004 was one of the most exciting for manufacturing in recent years. Installation of a new state-of-the-art cigarette manufacturing line was completed. The equipment, acquired at a cost of Shs 500 million and consisting of a cigarette making machine, a cigarette packer, a packet wrapper and a case filler operates at high speed with minimum manual intervention required.

With our capacity for high quality manufacture thus considerably enhanced we were able to expand our contract manufacture activities and commenced contract manufacture of two brands, Benson & Hedges and Rothmans Royals for export to Somalia and Djibouti during the last quarter of the year. As a result, our total production increased from 4.75 billion to 5.35 billion. We are on track to exceed 7 billion from 2005.

The higher volumes of 2004 coupled with the completion of extensive training programmes enabled us to use our manpower resources more efficiently which in turn resulted in significant improvements of key performance measures. In particular, manpower productivity as measured in cigarettes produced per man hour improved by 9% over the previous year.

Despite inflationary pressure on costs of production including labour and fuel, good cost control initiatives ensured that we were able to contain unit costs of production during the year.

All in all 2004 was a year of significant progress in manufacturing. You can all be proud that your company now has in place one of the finest cigarette manufacturing facilities in Africa that will continue to produce international quality cigarettes for markets through out East and Central Africa .

SUPPLY CHAIN

The main challenge in 2004 was to manage Supply Chain related costs at optimum levels against a back drop of increasing fuel prices which in turn precipitated upward pressure on an array of costs.

In order to maintain our cost base at an optimal level, we embarked on a project of managing the costs of all non-manufacturing inputs to ensure that your company benefited from the global sourcing of the British American Tobacco Group.

We developed a clear sourcing strategy, subjected several commodity suppliers to tenders and performed appraisals of the suppliers on our partnership programme. This culminated in cost reduction and service delivery improvement.

A secondary challenge was the logistics and modalities involved in availing wrapping materials and leaf from various international sources to facilitate the migration of volumes from Europe for manufacture in our Kenyan factory.

In distributing our products, the challenge of 2004 was our response speed to market requirements against a background of a deteriorating security situation and dilapidated infrastructure. Despite the inherent difficulties of distributing throughout Kenya, we achieved a record OTIF (on time in full) performance to ensure that our brands were always available to our valued customers at the retail outlet.

Through training of our key staff we have continued to enhance their performance level as well as prepare them for the challenges in our operations due to increased contract manufacture volumes, compressed lead times and complexity of operations as your company continues to grow.



Peter Taylor (Group Operations and IT Director), launches the manufacture of Royals for export markets in October 2004. Looking on is Peter Gaiho, Head of Manufacturing.

Marketing **Activities**

GOING FOR GROWTH

Our marketing theme in 2004 was "Going for Growth" and without a doubt, it proved to be a year of good growth for British American Tobacco Kenya building on the solid gains achieved last year. We grew our share of market month on month closing the year at 76%, up 3 points from that achieved in December 2003. Sales were up by 6% over 2003 exceeding the 4 billion sticks mark for the first time since 2001. This was an encouraging achievement in a year of modest but welcome economic growth, where pressure on consumer disposable income still remained high.

DRIVERS OF GROWTH

Our drive brands grew by a combined 9%, faster than the total market, highlighting the success of our focused marketing efforts behind these brands. We saw fastest growth at the bottom end of the market where our portfolio of affordable offers drew benefit from a more level playing field.

The enhanced effectiveness of the tax enforcement agencies in the country who increased their vigilance and actions against the illegal sale of non tax compliant products in the market were key in delivering this. Not only did such actions contribute to growth in sales of legal tax compliant products in Kenya, it also allowed our brands to compete on a level playing field vis a vis quality

and price. Our consumers have demonstrated their informed preferred brand choice in your superior quality brands demonstrated by the sales growth we have seen.

OUR DRIVE BRANDS

Benson & Hedges

The Premium drive brand in our portfolio performed extremely well in 2004 achieving double digit growth over 2003 albeit from a small base. Targeted at top end market consumers, sales success was secured by focusing distribution in the key urban centres of the country as well as brand building and consumer engagement activities during the peak sales periods of the year. B&H sales in the end year festive period were particularly buoyant which leads us to believe that with continued focus and an expected improvement in

the economic environment, the brand will continue to grow.

Embassy

Embassy Lights, the lead variant in the Embassy brand family, also recorded commendable growth during the year, supporting a global trend evident in premium and high priced brands, towards a shift to lighter variants.

Sportsman

The lead brand in the Kenya cigarette market achieved highly commendable performance, maintaining volume



Salesmen load cigarettes on their bikes ready for distribution to retailers.





despite extreme pressure from low priced competing offers. Key factors in this achievement are attributed to intense distribution initiatives, particularly in rural markets as well as the successful implementation of the 'Jenga Jina' consumer promotion. The promotion continues to grow in appeal and acclaim with well over 6 million entries being received in the 2004.

'Jenga Jina' combines both individual winners and community prizes in a unique promotional format which blends corporate social responsibility with brand marketing objectives. To date, the 'Jenga Jina' community development approach has seen 25 projects initiated with 19 already commissioned. The projects include the building of community health centres, cattle dips and communal water supply facilities.

The promotional concept itself continues to win awards, most recently being awarded the 2nd best overall consumer sales promotion in 2004 by the Marketing Society of Kenya.

Safari

Our 'fighter' brand Safari recorded remarkable growth in 2004, linked to more realistic market prices in the low priced segments. The brand continues to perform its role of being a credible offer to price sensitive consumers at the bottom end of the market.

DISTRIBUTION

In 2004, we continued our drive towards excellence in our trade marketing and distribution capabilities benchmarking world class standards elsewhere in

the Group. We strengthened the team in highly competitive zones, and ensured that training & staff development programmes were conducted strategically within the year.

Out in the field, our express objective was to ensure distribution superiority, as well as an improved quality in our coverage and service levels. Investments were made in vans, motorcycles & sales staff to augment existing distribution tools.

Recognising the key role of our valued trade partners, we implemented during the year, bonus schemes for our distributors and stockists ensuring that they were additionally rewarded on attainment of agreed targets.

LOOKING AHEAD

As earlier stated, 2004 was a year of good progress in your company's sales performance. Our goal is to build on this momentum and to drive quality growth in 2005, particularly of our higher priced brands.

Our brand strategy is working, our distribution effectiveness is good and getting better and we continue to invest in promotional and trade activities.

Behind this, we continue to upskill our people, employing the best and providing training to deliver the best. We have felt the benefits of a tax compliant market place and will continue to support enforcement initiatives towards creating a level playing field.

All this leads to optimism that with continued improvement in the economy as a whole, and consumer disposable incomes in particular, we will confidently deliver our 2005 marketing objectives.



Hon. David Mwiraria, Minister for Finance officially opens a dispensary that was sponsored by Mr. Basilio Kigora, a Sportsman Jenga Jina Promotion winner. The dispensary is located in South Imenti Constituency.



A customer buys cigarettes from a kiosk.

Corporate & Regulatory Affairs

SOCIAL REPORTING

In 2004, your company became the first in Kenya to publish a "Corporate Social Report". This stakeholder engagement initiative provided a platform for direct dialogue with stakeholders on various issues. Tobacco farmers, suppliers, Government representatives, legislators, special interest groups, NGO's, consumers, distributors and employees attended various dialogue sessions to give their views on the Company's socio-economic and environmental performance.

The process offered invaluable insight on what your company is doing right, what needs to change and how to partner with our stakeholders to effectively address their concerns on a wide range of issues including, community support initiatives, smoking and health, environmental performance and employee relations. The "Report to Society" capturing the dialogue process and the company's responses was launched mid-year and dispatched to all our stakeholders.

The company will sustain our social reporting initiative as it seeks to continuously address stakeholder concerns on various issues regarding our business.



Simon Welford (Managing Director) unveils the 'Report to Society' last year. Looking on from left are: Dr. Kipkirui Lang'at (the - then Chief Executive, Agricultural Society of Kenya), Dr. P.L.O Lumumba (Facilitator, Social Reporting Process) and Keli Kiilu Corporate Affairs Director.

CORPORATE SOCIAL INVESTMENT

As part of the company's contribution to socio-economic development and community development initiatives, in conjunction with the East African Community, your company sponsored the 6th East African Jua Kali exhibition which was held at the Tononoka grounds in Mombasa. The event attracted over 400 exhibitors from Kenya, Uganda, Tanzania and for the first time fifty participants from Rwanda.

Your company also sponsored a Jua Kali exhibition held alongside the Kenya 2004 International Investment Conference. The role of the Exhibition was to recognise and incorporate the Jua Kali Sector in the main stream economic planning and development of Kenya.

British American Tobacco Kenya continued being a prominent member of the agricultural fraternity and participated in the four Agricultural Society of Kenya shows in Nakuru, Kisumu, Mombasa and Nairobi. The agricultural shows provide a forum for members in the sector to exchange ideas and best practice in addition to sharing knowledge with the public.

Your company continued to support the ASK by providing VIP gates in Nakuru, Kisumu and Nairobi show grounds and refurbishment of the VIP dias at the Mombasa show ground.

As a new initiative, the company established Botanical Gardens at the Nakuru, Kisumu and Nairobi Show grounds which are covered with a variety of indeginous trees.





Board of Directors **Profile**



Evanson Mwaniki
Chairman;

Appointed a Non-Executive Director of the Company in April 1995 and has been Non-Executive Chairman since November 1995. He is a reputable business leader and has had extensive work experience both locally and internationally. He is Chairman of the Audit, Nominations and Remunerations Committees. He is also a Director of East African Breweries Ltd, Kenya Shell Ltd/BP Kenya Ltd, Lion of Kenya Insurance Company and East African Packaging Industries.



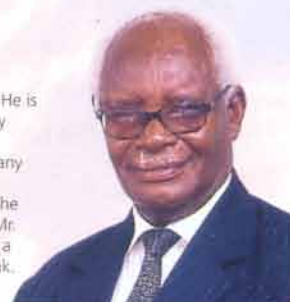
Chris Burrell
Non - Executive Director

Appointed Managing Director of the Company in May 2000. In July 2001 Chris was appointed Area Director Eastern Africa and subsequently Area Director Equatorial Africa upon its formation in 2004. He has over 22 years experience in the tobacco industry, working in various general management and strategic planning roles mainly in Africa.



Simon Welford
Managing Director

Appointed Managing Director in July 2002. He is Chairman of the Corporate Social Responsibility Committee. Prior to this he held the position of General Manager Horn of Africa, a position he took in 1999. He has 14 years experience with the British American Tobacco Group in Africa.



Harris Mule
Non - Executive Director

Appointed a Non-Executive Director in July 2001. He is an experienced development economist and policy analyst. He has worked in various capacities in Government and the private sector, serving for many years as Permanent Secretary in the Ministry of Finance. He has provided consultancy services to the World Bank and the African Development Bank. Mr Mule is the Chancellor of Kenyatta University and a Non-Executive Director of Standard Chartered Bank.



Philip Lopokoiyit
Finance Director

Appointed Finance Director in January 2004. Since joining British American Tobacco Kenya he has held senior positions in finance including Finance Manager, Horn of Africa and Development Markets prior to his appointment as Finance Director. He has been in Finance Management for 14 years and is a member of the Institute of Chartered Accountants of England & Wales.



Leonardo Morales
Non - Executive Director

Appointed Non-Executive Director in March 2005. He is Area Finance Manager for Equatorial Africa Area. Prior to his appointment he was Head of Finance for Levant & Yemen. He has over 14 years experience with the British American Tobacco Group in senior Finance roles in South America, the United Kingdom and the Middle East.



Keli Kiilu
Corporate & Regulatory Affairs Director

Appointed the Corporate & Regulatory Affairs Director in July 2002. He has worked in various roles within Public Affairs & Corporate and Regulatory Affairs Department. He is a Director of the Kenya Association of Manufacturers (KAM) and the East African Business Council. He is also a Vice Patron of the Agricultural Society of Kenya (ASK). He has more than 20 years experience with British American Tobacco Kenya.



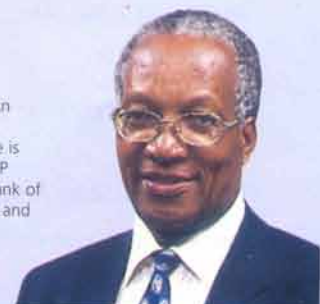
Allan Ngugi
Non - Executive Director

Appointed a Non-Executive Director in April 2000. He has over 30 years experience in the Corporate sector, having worked in various organisations in Kenya. He is the immediate former CEO of Kenya Association of Manufacturers and is currently Chairman of the Anti Corruption Commission Advisory Board.



Michael Wanyoike
Non - Executive Director

Appointed a Non-Executive Director in January 2001. He is a former employee of British American Tobacco Kenya having joined the Company in Personnel Department. Following roles in Kenya and East Africa, he was appointed Human Resources Director in 1996. Upon retiring from full time employment in 2000 he took up Human Relations Consultancy.



Prof. Joseph Kimura
Non - Executive Director

Appointed Non-Executive Director July 2001. An accountant by profession, he is currently the Chairman of Higher Education Loan Board. He is also a member of the Board of Directors of UAP Provincial Insurance Company, Development Bank of Kenya Ltd, Chairman of Phoenix Publishers Ltd and Ndakaini Dam Environmental Conservation Association.

Corporate Governance

CORPORATE GOVERNANCE

The Company is committed to the highest standards of corporate governance and adheres to the standards of good corporate governance set out in the Capital Markets Authority Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya (CMA Guideline). The Company however believes that the most potent form of corporate governance comes from within, with external guides and codes being overlays to the standards that we as a Group set ourselves. Those standards are codified in our own Standards of Business Conduct which every company and every employee worldwide is expected to live up to. In addition we also adhere to our Statement of Business Principles which are designed to help meet the expectations placed on us by our various stakeholders.

THE BOARD OF DIRECTORS

The Board's current membership consists of seven Non-Executive Directors and three Executive Directors. The Board meets at least five times a year and is responsible for providing overall strategic direction and deciding major corporate actions taken by the Company. It reviews performance, takes material policy decisions and gives guidance on general policy.

The Board is also responsible for the overall system of internal control for the Company thereby managing risks that may impede the achievement of the Company's business objectives. Responsibility for implementing strategy and day-to-day operations is delegated by the Board to the Managing Director and the top management team – the Kenya Strategy Team.

NON-EXECUTIVE DIRECTORS' TERMS OF APPOINTMENT

The non-executive directors do not have service contracts with the company but instead have letters of appointment. The terms of appointment provide that a director is appointed for a specified term, being an initial period to the next AGM after appointment and subject to reappointment at that meeting, for a further term period not later than the AGM held one year later.

Subsequent reappointment is subject to endorsement by the Board and the approval of shareholders at an AGM in the usual manner.

BOARD COMMITTEES

The Audit Committee is chaired by the non-executive chairman of the Board of Directors, Mr. Evanson Mwaniki. It meets three times a year with internal and external auditors, as well as with management, to review the effectiveness of internal controls, any matters raised in regular reports to the Committee and the full and half year financial statements prior to their submission to the Board.

The Remuneration Committee is also chaired by Mr. Evanson Mwaniki. It determines the Company's remuneration policy for employees, management and Non-Executive Directors.

The Nominations Committee is chaired by Mr. Evanson Mwaniki and recommends candidates for appointment to the Board. It evaluates and makes recommendations with regard to the composition of all Board Committees.

In so doing, it monitors and ensures that appropriate Independent, Non-Executive and Executive Director ratios are maintained. The Nominations Committee is also charged with the responsibility of evaluating and reporting to the Board on an annual basis the effectiveness of the Board and the effectiveness of the Directors in the discharge of their responsibilities.



Simon Welford Managing Director, Philip Lopokoiyit Finance Director and Evanson Mwaniki Chairman British American Tobacco Kenya peruse the 2004 Results.

The Corporate Social

Responsibility Committee is chaired by the Managing Director Mr.

Simon Welford. Its role is to help identify and assess the risks that might impair the Company's strategic objective of being recognised as a responsible company in a controversial industry.

PROVIDENT FUNDS

The two British American Tobacco Provident Funds are under the stewardship of a joint Board of Trustees. Chaired by Non-Executive Director, Mr Michael Wanyoike, the Board of Trustees includes representatives of employees and management as well as Executive and Non-Executive Directors. Both Funds are compliant with the requirements of the Retirement Benefits Act.

CORPORATE CITIZENSHIP

British American Tobacco Kenya has adopted a structured approach to environmental, health and safety management in compliance with the Group's best practice from all global operations.

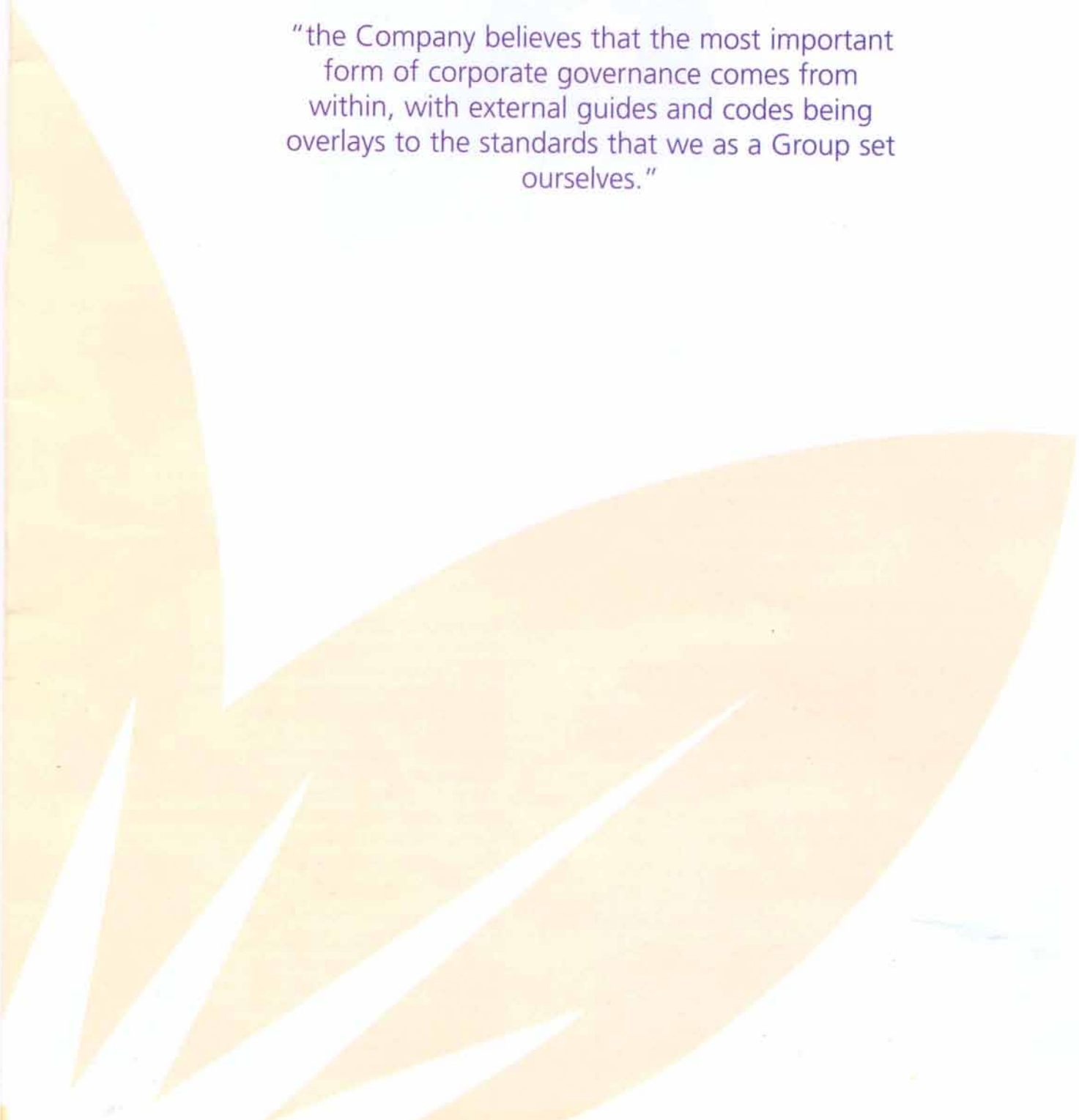
The company supports numerous social responsibility initiatives in Kenya including providing support to the Jua Kali sector, The Agricultural Society of Kenya and afforestation. Total contributions to these and other worthy initiatives amounted to Shs 40 million in 2004. The Company made no donations for any political purposes.

EMPLOYEES

British American Tobacco Kenya actively encourages dialogue and participation in the company's business through regular team briefs, internal publications, employee surveys and regular meetings with employees and their representatives. The company's employment policy includes commitments to recruit people on the basis of their ability and to equal opportunities.

Corporate **Governance**

"the Company believes that the most important form of corporate governance comes from within, with external guides and codes being overlays to the standards that we as a Group set ourselves."



Shareholding Structure

Major Shareholders

Shareholder	No. of Shares	%Holding
Molenssteegh Invest BV	60,000,000	60.00
Board of Trustees National Social Security Fund	20,000,000	20.00
Barclays (Kenya) Nominees Limited A/C 1256	996,666	1.00
Barclays (Kenya) Nominees Limited A/C 1853	885,000	0.88
Old Mutual Life Assurance Company Limited	836,880	0.84
Kenya Commercial Bank Nominees Ltd A/C 744	806,617	0.81
Kenya Commercial Bank Nominees Ltd A/C 769G	440,187	0.44
Baloobhai Chhotabhai Patel	402,430	0.40
Apollo Insurance Company Limited	386,949	0.39
Insurance Co. of East Africa Ltd	336,737	0.34
Others	14,908,534	14.90
Total	100,000,000	100.00

Summary of Shareholders

Shareholder	No. of Shareholders	Shares	% Holding
Kenyans	4807	39,917,686	39.92
Foreign	25	60,034,446	60.03
East African	21	47,868	0.05
Total	4,853	100,000,000	100.00

Distribution of Shareholders

Share Holding No. of Shares	No. of Shareholders	No. of Shares Held	% Share Holding
Less than 500	2084	621,301	0.62
501 to 5,000	2364	3,836,226	3.84
5,001 to 10,000	186	1,345,240	1.34
10,001 to 100,000	186	5,015,626	5.02
100,001 to 1,000,000	31	9,181,607	9.18
Above 1,000,000	2	80,000,000	80.00
Total	4,853	100,000,000	100.00

Based on the Share Register as at 18 March 2005

Further information on British American Tobacco Group is available from Group website: www.bat.com



Directors Report & Financial Statements 2004

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Directors & Advisors

Board of Directors

Mr. E Mwaniki (Chairman)
Mr. S A Welford (Managing Director)
Mr. P R Lopokoiyit (Finance Director)
Mr. K Kiilu (Corporate & Regulatory Affairs Director)
Mr. C M Burrell*
Mr. L C Rapparini**
Mr. M M Wanyoike*
Mr. A N Ngugi*
Prof. J H Kimura*
Mr. H M Mule*

Audit Committee

Mr. E Mwaniki (Chairman)
Mr. C M Burrell
Mr. P R Lopokoiyit
Mr. S Mugwe
Mr. L C Rapparini**
Mr. S A Welford
Prof. J H Kimura
Mr. H M Mule
Mr. D Okumu
Mr. E Irungu (Secretary)

Nominations Committee

Mr. E Mwaniki (Chairman)
Mr. A N Ngugi
Mr. C M Burrell
Mr. S A Welford

Remuneration Committee

Mr. E Mwaniki (Chairman)
Mr. C M Burrell
Mr. S A Welford
Mr. L C Rapparini**
Mr. M M Wanyoike
Mr. M Owor
Mr. D Kiambi (Secretary)

Corporate Social Responsibility Committee

Mr. S A Welford (Chairman)
Mr. K Nguru
Mr. D Kiambi
Mr. S Mugwe
Mr. E Irungu
Mr. J Kiberu
Mr. M M Wanyoike
Mr. K Kiilu (Secretary)

Auditors

PricewaterhouseCoopers,
Rahimtulla Tower, Upper Hill Road,
P.O. Box 43963-00100,
NAIROBI.

Transfer Agents

Barclays Bank Advisory & Registrar Services Limited,
Bank House, Moi Avenue,
P.O. Box 30120-00100,
NAIROBI.

Advocates

Kaplan & Stratton,
Williamson House,
4th Ngong Avenue,
P.O. Box 40111-00100,
NAIROBI.

Bankers

Barclays Bank Kenya Limited.
Citibank N.A.
Commercial Bank of Africa Limited.
Stanbic Bank Kenya Limited.
Standard Chartered Bank Kenya Limited.

Secretary and Registered Office

R T Ngobi (Ms.),
Likoni Road,
P.O. Box 30000-00100,
NAIROBI.
Telephone: 69042000.

* Non-executive Directors

** Resigned on 11 March 2005



Directors Report **Ripoti ya Wakurugenzi**

The directors submit their report together with the audited financial statements for the year ended 31 December 2004 which disclose the state of affairs of the company and the group.

PRINCIPAL ACTIVITIES:

The principal activities of the group are the manufacture and sale of cigarettes and tobacco.

Results and dividend	Shs'000
Net profit for the year	1,210,194
Dividend:	
Interim dividend of Shs 12.00 per share	1,200,000
Proposed final dividend of Shs 4.50 per share	450,000
	<u>1,650,000</u>

BOARD OF DIRECTORS

The following changes have taken place in the Board of Directors since the last Annual General Meeting:

Mr. Luis Rapparini resigned from the Board on 11 March 2005. Mr. Leonardo Morales was appointed to the Board on 11 March 2005 in accordance with Article 95 of the Articles of Association.

In accordance with Article 89 of the Articles of Association Messrs H M Mule, Prof. J H Kimura, and A N Ngugi retire from the Board by rotation at the Annual General Meeting and, being eligible, offer themselves for re-election.

In accordance with Article 95 of the Articles of Association Mr. Leonardo Morales retires from the Board at the Annual General Meeting and, being eligible, offers himself for re-election.

AUDITORS

The Company's auditors, Messrs PricewaterhouseCoopers continue in office in accordance with section 159(2) of the Companies Act.

By Order of the Board

R T Ngobi (Ms.)
Company Secretary
18 March 2005

Wakurugenzi wanatoa Ripoti yao na hesabu za fedha zilizokaguliwa kwa mwaka uliomalizika Desemba 31, 2004.

SHUGHULI MUHIMU ZA KUNDI LA MAKAMPUNI

Shughuli muhimu za kundi la makampuni ni utengenezaji na uuzaji wa sigara na tumbaku.

Faida iliyopatikana	Shs.'000
Faida iliyopatikana katika mwaka huo baada ya kodi ilikuwa	1,210,194
Iligawanywa ifuatavyo:	
Migawo ya faida kwa wenyehisa:	
Mgawo wa muda wa Shs.12.00 kwa kila hisa	1,200,000
Mgawo wa mwisho unaopendekezwa wa Shs. 4.50 kwa kila hisa	450,000
	<u>1,650,000</u>

HALMASHAURI YA WAKURUGENZI

Tangu Mkutano Mkuu wa mwaka jana mabadiliko yafuatayo yametokea katika Halmashauri ya Wakurugenzi:

Bw. Luis Rapparini alijiuzulu tarehe 11 March 2005. Bw. Leonardo Morales aliteuliwa tarehe 11 March 2005.

Kwa mujibu wa kifungu 89 cha Katiba ya Kampuni Mabw. H M Mule, Prof. J H Kimura, and A N Ngugi wastaafu kwa zamu katika mkutano Mkuu wa Mwaka na, kwa vile wanastahili, wanajitolea kuchaguliwa tena.

Kwa mujibu wa kifungu 95 cha Katiba ya Kampuni Bw. Leonardo Morales atastaafu katika Mkutano Mkuu wa Mwaka na, kwa vile anastahili, anajitolea kuchaguliwa tena.

WAKAGUZI WA HESABU

PricewaterhouseCoopers wataendelea na ukaguzi wa vitabu kwa mujibu wa kifungu 159(2) cha Sheria za Makampuni.

Kwa Amri ya Halmashauri

R T Ngobi (Ms.)
Katibu wa Kampuni
18 March 2005

Statement of Directors Responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and the group as at the end of the financial year and of the group profit or loss. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and the group and of the profit of the group. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

S A Welford
Managing Director

P R Lopokoiyit
Finance Director

18 March 2005



Auditors Report

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF BRITISH AMERICAN TOBACCO KENYA LIMITED

We have audited the financial statements of British American Tobacco Kenya Limited for the year ended 31 December 2004, set out on pages 22 to 38.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as described on page 20. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit and we believe our audit provides a reasonable basis for our opinion.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of financial affairs of the Group and the company as at 31 December 2004, and of the Group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act. The company's balance sheet is in agreement with the books of accounts.

PricewaterhouseCoopers
Certified Public Accountants
Nairobi

18 March 2005

Consolidated Profit & Loss Account

for the year ended 31 December 2004

	Notes	2004 Shs'000	2003 Shs'000
Gross turnover		9,865,047	9,446,056
Excise duty and value added tax		(4,398,721)	(4,128,140)
Net turnover		5,466,326	5,317,916
Cost of operations	3	(3,710,551)	(3,575,113)
Reorganisation costs	4	(17,922)	(66,333)
Operating profit	5	1,737,853	1,676,470
Finance income	7	12,749	1,125
Profit before income tax		1,750,602	1,677,595
Income tax expense	8	(540,408)	(537,574)
Profit for the year		1,210,194	1,140,021
Earnings per share			
Basic and diluted earnings per share (Shs)	10	12.10	11.40
Dividend			
Interim dividend – paid in the year	9	1,200,000	800,000
Proposed final dividend for the year	9	450,000	450,000
		1,650,000	1,250,000



Consolidated Balance Sheet

As at 31 December 2004

	Notes		2003 Shs'000
CAPITAL EMPLOYED			
Share capital	11	1,000,000	1,000,000
Share premium		23	23
Revaluation surplus	12	746,073	769,383
Retained earnings		1,564,929	1,981,425
Proposed dividends	9	450,000	450,000
Shareholders' funds		3,761,025	4,200,831
Non-current liabilities			
Retirement benefits obligation	13	92,908	120,384
Deferred income tax	14	514,580	485,906
		4,368,513	4,807,121
REPRESENTED BY:			
Non-current assets			
Property, plant and equipment	16	3,520,605	3,552,077
Prepaid operating lease rentals	17	215	219
		3,520,820	3,552,296
Current assets			
Inventories	18	1,437,122	1,277,949
Receivables and prepayments	19	891,531	572,482
Current income tax		108,272	-
Cash and bank balances	22	164,142	953,342
		2,601,067	2,803,773
Current liabilities			
Payables and accrued expenses	20	1,560,854	1,504,979
Current income tax		-	43,969
Borrowing	21	192,520	-
		1,753,374	1,548,948
Net current assets		847,693	1,254,825
		4,368,513	4,807,121

The accounts on pages 22 to 38 were approved for issue by the board of directors on 18 March 2005 and signed on its behalf by:

S A Welford
Managing Director

P R Lopokoiyit
Finance Director

Company Balance Sheet

As at 31 December 2004

	Notes	2004 Shs'000	2003 Shs'000
CAPITAL EMPLOYED			
Share capital	11	1,000,000	1,000,000
Share premium		23	23
Revaluation surplus	12	746,073	769,383
Retained earnings		1,564,929	1,981,425
Proposed dividends	9	450,000	450,000
Shareholders' funds		3,761,025	4,200,831
Non-current liabilities			
Retirement benefits obligation	13	92,908	120,384
Deferred income tax	14	514,580	485,906
		4,368,513	4,807,121
REPRESENTED BY:			
Non-current assets			
Property, plant and equipment	16	3,520,605	3,552,077
Prepaid operating lease rentals	17	215	219
Investment in subsidiaries	15	12,000	12,000
		3,532,820	3,564,296
Current assets			
Inventories	18	1,437,122	1,277,949
Receivables and prepayments	19	923,957	534,868
Current income tax		10,919	-
Cash and bank balances		112,379	879,134
		2,484,377	2,691,951
Current liabilities			
Payables and accrued expenses	20	1,490,584	1,444,243
Current income tax		-	4,883
Borrowing	21	158,100	-
		1,648,684	1,449,126
Net current assets		835,693	1,242,825
		4,368,513	4,807,121

The financial statements on pages 22 to 38 were approved for issue by the board of directors on 18 March 2005 and signed on its behalf by:

S A Welford
Managing Director

P R Lopokoiyit
Finance Director



Consolidated Statement of Changes in Equity

for the year ended 31 December 2004

	Notes	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 31 December 2003							
At start of year		1,000,000	23	829,489	2,031,298	250,000	4,110,810
Transfer of excess depreciation		-	-	(36,389)	36,389	-	-
Deferred tax on transfer		-	-	10,917	(10,917)	-	-
Transfer of prior year deferred tax		-	-	(34,634)	34,634	-	-
Net gains/(losses) recognised directly in equity		-	-	(60,106)	60,106	-	-
Profit for the year		-	-	-	1,140,021	-	1,140,021
Total recognised income for 2003		-	-	(60,106)	1,200,127	-	1,140,021
Dividend:							
- Final for 2003		-	-	-	-	(250,000)	(250,000)
- Interim for 2003		-	-	-	(800,000)	-	(800,000)
- Proposed final for 2003		-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	769,383	1,981,425	450,000	4,200,831
Year ended 31 December 2004							
At start of year		1,000,000	23	769,383	1,981,425	450,000	4,200,831
Transfer of excess depreciation		-	-	(33,300)	33,300	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	(23,310)	23,310	-	-
Profit for the year		-	-	-	1,210,194	-	1,210,194
Total recognised income for 2004		-	-	(23,310)	1,233,504	-	1,210,194
Dividend:							
- Final for 2003		-	-	-	-	(450,000)	(450,000)
- Interim for 2004	9	-	-	-	(1,200,000)	-	(1,200,000)
- Proposed final for 2004	9	-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	746,073	1,564,929	450,000	3,761,025

Company Statement of Changes in Equity

For the year ended 31 December 2004

	Notes	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 31 December 2003							
At start of year		1,000,000	23	829,489	2,021,187	250,000	4,100,699
Transfer of excess depreciation		-	-	(36,389)	36,389	-	-
Deferred tax on transfer		-	-	10,917	(10,917)	-	-
Transfer of prior year deferred tax		-	-	(34,634)	34,634	-	-
Net gains/(losses) recognised directly in equity		-	-	(60,106)	60,106	-	-
Profit for the year		-	-	-	1,150,132	-	1,150,132
Total recognised income for 2003		-	-	(60,106)	1,210,238	-	1,150,132
Dividend:				-			
- Final for 2002		-	-	-	-	(250,000)	(250,000)
- Interim for 2003		-	-	-	(800,000)	-	(800,000)
- Proposed final for 2003		-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	769,383	1,981,425	450,000	4,200,831
Year ended 31 December 2004							
At start of year		1,000,000	23	769,383	1,981,425	450,000	4,200,831
Transfer of excess depreciation		-	-	(33,300)	33,300	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	(23,310)	23,310	-	-
Profit for the year		-	-	-	1,210,194	-	1,210,194
Total recognised income for 2004		-	-	(23,310)	1,233,504	-	1,210,194
Dividend:							
- Final for 2003	9	-	-	-	-	(450,000)	(450,000)
- Interim for 2004	9	-	-	-	(1,200,000)	-	(1,200,000)
- Proposed final for 2004		-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	746,073	1,564,929	450,000	3,761,025



Consolidated Cash Flow Statement

For the year ended 31 December 2004

	Notes	2004 Shs'000	2003 Shs'000
Operating activities			
Cash generated from operations	24	1,520,598	2,636,161
Interest received		8,464	27,889
Interest paid		-	(6)
Income tax paid		(663,975)	(724,516)
Net cash from operating activities		865,087	1,939,528
Investing activities			
Purchase of property, plant and equipment	16	(210,311)	(421,342)
Proceeds from disposal of property, plant and equipment		13,504	37,308
Net cash used in investing activities		(196,807)	(384,034)
Financing activities			
Dividends paid		(1,650,000)	(1,050,000)
Net cash used in financing activities		(1,650,000)	(1,050,000)
Increase in cash and cash equivalents		(981,720)	505,494
Movement in cash and cash equivalents			
At start of year		953,342	447,848
Increase		(981,720)	505,494
At end of year	22	(28,378)	953,342

Accounting Policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are in compliance with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and are prepared under the historical cost convention as modified by the revaluation of certain property.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) Group accounting

The consolidated financial statements incorporate the company and its subsidiaries, made up to 31 December 2004. Subsidiaries are consolidated from the date on which control is transferred to the group and are not consolidated from the date that control ceases. All inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated; unrealised losses are also eliminated unless cost cannot be recovered.

(c) Revenue recognition

Sales of goods are recognised in the period in which the company delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.

Sales of services are recognised in the period in which the services are rendered, by reference to completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of value-added tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

(d) Translation of foreign currencies

All assets and liabilities expressed in foreign currencies are converted into Kenya shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are converted at the rates ruling at the date of the transaction. The resulting differences from conversion are dealt with in the profit and loss account in the year in which they arise.

(e) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at valuation, less subsequent depreciation. All other plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on the revaluation are credited to revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.



Accounting Policies (continued)

Depreciation is calculated on the straight-line basis to write down the cost of each asset, or the revalued amount, to its estimated residual value over its estimated useful life as follows:

Buildings	2.5% - 10% per annum or over the period of the lease if less than 40 years
Plant, machinery, vehicles and equipment	7% - 30% per annum.
Freehold land is not depreciated.	

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

(f) Accounting for leases

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(g) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads, but exclude interest expense. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

(h) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the profit and loss account.

(i) Income tax

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Accounting Policies (continued)

(j) Employee benefits

a) Retirement benefit obligations

The company operates two defined contribution retirement benefit schemes for all its employees. The assets of both schemes are held in separate funds which are administered by an independent fund manager and are funded by contributions from both the company and employees. The company's contributions to the schemes are charged to the profit and loss account in the year to which they relate.

The company also operates an unfunded retirement benefit scheme to provide additional "top up" retirement benefits to management staff. The scheme operates on a defined benefit basis. No contributions are payable to the scheme, but a provision is made in the financial statements for the estimated cost of the future benefits under the scheme. The adequacy of such provisions is confirmed periodically by an independent actuarial valuation.

b) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(k) Dividend

Dividend on ordinary shares are charged to equity in the year in which they are declared. Proposed dividend are shown as a separate component of equity until declared.

(l) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provision for impairment losses. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

On disposal of an investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account.

(m) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective yield method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings.

(n) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.



Notes

1 General information

British American Tobacco Kenya Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The company's shares are listed on the Nairobi Stock Exchange. The address of its registered office is:

Likoni Road
PO Box 30000-00100
NAIROBI

2 Financial risk management objectives and policies

The company's activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

Financial risk management is carried out by the Treasury Committee under policies approved by the Board of Directors. Treasury identifies, evaluates and hedges financial risks. The Treasury Committee provides written principles for overall risk management, as well as those covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and investing excess liquidity.

3 Cost of operations

	2004 Shs'000	2003 Shs'000
Raw materials and consumables	1,813,493	1,605,634
Marketing and distribution costs	347,733	378,037
Administrative expenses	1,314,750	1,365,659
Depreciation of property, plant and equipment	234,571	225,779
Amortisation of operating prepaid lease rentals (Note 17)	4	4
	<u>3,710,551</u>	<u>3,575,113</u>

4 Reorganisation costs

Redundancy costs	<u>17,922</u>	<u>66,333</u>
------------------	---------------	---------------

5 Operating profit

The following items have been charged in arriving at operating profit:

Depreciation of property, plant and equipment (Note 16)	234,571	225,779
Amortisation of prepaid operating lease rentals (Note 17)	4	4
Staff costs (Note 6)	845,447	772,283
Auditors' remuneration	<u>5,550</u>	<u>5,250</u>

Notes (continued)

6 Staff costs

The following items are included within staff costs:

Retirement benefit costs:

- Defined contribution schemes (Note 13)
- Unfunded retirement benefits obligation (Note 13)
- Contributions to National Social Security Fund

2004 Shs'000	2003 Shs'000
34,714	34,376
(7,749)	9,744
1,066	1,102

The average number of persons employed by the group during the year was 420 (2003: 430).

7 Finance income

Interest income

Net foreign currency exchange gains/(loss)

Interest expense and similar charges

8,464	27,889
4,719	(26,758)
(434)	(6)
12,749	1,125

8 Income tax expense

Current income tax

Deferred income tax (Note 14)

Over-provision of current tax in prior years

Income tax expense

511,734	562,223
28,674	(19,218)
-	(5,431)
540,408	537,574

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the basic income tax rate as follows:

Profit before income tax

Tax calculated at the statutory income tax rate of 30 % (2003: 30%)

Tax effect of:

Income not subject to tax

Expenses not deductible for tax purposes

Income tax expense

1,750,602	1,677,595
525,181	503,279
(8,873)	(136)
24,100	34,431
540,408	537,574

9 Dividends

At the Annual General Meeting to be held on 26 April 2005, a final dividend in respect of the year ended 31 December 2004 of Shs 4.50 per share amounting to Shs 450,000,000 is to be proposed.

During the year, a first interim dividend of Shs 4.50 per share amounting to Shs 450,000,000 was paid on 13 August 2004.

A second interim dividend of Shs 4.00 per share amounting to Shs 400,000,000 was paid on 29 October 2004.

A third interim dividend of Shs 3.50 per share amounting to Shs 350,000,000 was paid on 20 December 2004.

The total dividend for the year is therefore Shs 16.50 per share (2003: Shs 12.50) amounting to a total of Shs 1,650,000,000 (2003: Shs 1,250,000,000).

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.



Notes (continued)

10 Earnings per share

Basic earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2004	2003
Net profit attributable to shareholders (Shs'000)	1,210,194	1,140,021
Weighted average number of ordinary shares in issue (thousands)	100,000	100,000
Basic earnings per share (Shs)	12.10	11.40

There were no potentially dilutive shares outstanding at either year end.

11 Share capital

	Number of shares (Thousands)	Ordinary Shares Shs'000
At 1 January 2004 and at 31 December 2004	100,000	1,000,000

The total authorised number of ordinary shares is 100,000,000 with a par value of Shs 10 per share.
All issued shares are fully paid.

12 Revaluation surplus

The revaluation surplus relates to the revaluation of the company's buildings and freehold land net of deferred income tax and is non-distributable. The movements in the revaluation surplus are set out in the consolidated and company statements of changes in equity.

13 Retirement benefits obligation

(a) Unfunded retirement benefits obligation

The company has an obligation to fund additional "top up" retirement benefits to its management staff in addition to their retirement benefits under the defined contribution scheme. The company makes a provision for the additional "top up" retirement benefits costs for management staff based on the advice of independent actuaries. An actuarial valuation of the company's obligation to fund the "top-up" retirement benefits was carried out at 31 December 2004 using the following actuarial assumptions:

Discount rate	9%
Future annual salary increase	7%
Future annual increase in contributions to provident fund	7%

A full provision for the obligation was made in the financial statements based on the results of the actuarial review. The next actuarial review will be carried out as at 31 December 2007. The movement in the provision during the year was as follows:

	2004 Shs'000	2003 Shs'000
At start of year	120,384	118,641
(Credit)/charge to profit and loss account	(7,749)	9,744
Utilised in the year	(19,727)	(8,001)
At end of year	92,908	120,384

(b) Defined contribution schemes

The company also operates two defined contribution schemes for all its staff. The two schemes are the BAT Kenya Staff Provident Fund (which is a closed fund and no additional contributions are payable) and the BAT Kenya Staff Provident Fund - 1991.

Notes (continued)

13 Retirement benefits obligation (continued)

Contributions to the provident funds are determined by the rules of the scheme and amounted to Shs 34,714,000 (2003: Shs 34,376,000) in the year.

Contributions to the statutory pension scheme, National Social Security Fund (NSSF) are determined by local statute and amounted to Shs 1,066,000 (2003: Shs 1,102,000).

14 Deferred tax

Deferred income tax is calculated using the enacted income tax rate of 30% (2003: 30%).

The movement on the deferred income tax account is as follows:

	Group		Company	
	2004 Shs'000	2003 Shs'000	2004 Shs'000	2003 Shs'000
At start of year	485,906	505,124	485,906	515,235
Charge/(credit) to income statement (Note 8)	28,674	(19,218)	28,674	(29,329)
At end of year	514,580	485,906	514,580	485,906

Deferred income tax assets and liabilities, and the deferred income tax charge/(credit) in the profit and loss account are attributable to the following items:

Group	1 January 2004 Shs'000	Charged/ (credited) to P&L Shs'000	31 December 2004 Shs'000
Deferred income tax liabilities			
Property, plant and equipment			
- on historical cost basis	306,890	17,076	323,966
- on revaluation surplus	329,736	(9,990)	319,746
	636,626	7,086	643,712
Deferred income tax assets			
Other temporary differences	(150,720)	21,588	(129,132)
Net deferred income tax liability	485,906	28,674	514,580
Company			
Deferred income tax liabilities			
Property, plant and equipment			
- on historical cost basis	306,890	17,076	323,966
- on revaluation surplus	329,736	(9,990)	319,746
	636,626	7,086	643,712
Deferred income tax assets			
Other temporary differences	(150,720)	21,588	(129,132)
Net deferred income tax liability	485,906	28,674	514,580

Deferred income tax of Shs 9,990,000 (2003: Shs 10,917,000) was transferred within shareholders' equity from revaluation surplus to retained earnings. This represents deferred tax on the difference between the actual depreciation on buildings and the equivalent depreciation based on the historical cost of the building.

Notes (continued)

17	Prepaid operating lease rentals	2004 Shs'000	2003 Shs'000		
	At start of year	219	223		
	Amortisation for the year	(4)	(4)		
	At end of year	<u>215</u>	<u>219</u>		
18	Inventories – Group and Company				
	Raw materials and consumables	1,283,846	1,118,578		
	Finished goods and work in progress	153,276	159,371		
		<u>1,437,122</u>	<u>1,277,949</u>		
19	Receivables and prepayments				
		Group		Company	
		2004 Shs'000	2003 Shs'000	2004 Shs'000	2003 Shs'000
	Trade receivables	20,747	78,400	-	41,697
	Due from related companies (Note 25)	363,584	75,579	418,853	77,781
	Prepayments and other receivables	507,200	418,503	505,104	415,390
		<u>891,531</u>	<u>572,482</u>	<u>923,957</u>	<u>534,868</u>
20	Payables and accrued expenses				
	Trade payables	342,763	246,710	335,072	246,710
	Due to related companies (Note 25)	258,025	23,789	250,023	79,440
	Other payables and accrued expenses	960,066	1,234,480	905,489	1,118,093
		<u>1,560,854</u>	<u>1,504,979</u>	<u>1,490,584</u>	<u>1,444,243</u>
21	Borrowings				
	Borrowings comprise the following:				
	Bank overdraft	<u>192,520</u>	-	<u>158,100</u>	-

The weighted average effective interest rate on bank borrowings was 6.5% at the year end.
Bank borrowings are unsecured.

In the opinion of the directors, the carrying amounts of short-term borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the balance sheet date.

Borrowing facilities

The company has the following undrawn committed borrowing facilities:

	2004 Shs'000	2003 Shs'000
Floating rate		
- expiring within one year	<u>3,353,000</u>	<u>2,765,000</u>

The facilities are subject to renewal review at various dates during the year.



Notes (continued)

22 Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held on call with banks net of bank overdrafts. The year-end cash and cash equivalents comprise the following:

	2004 Shs'000	2003 Shs'000
Cash at bank and in hand	145,249	162,640
Short term bank deposits	18,893	790,702
	164,142	953,342
Bank overdraft (Note 21)	(192,520)	-
	(28,378)	953,342

The weighted average effective interest rate on short-term bank deposits during the year was 2.13% (2003: 3.87%).

23 Contingent liabilities

As at 31 December 2004, the group had given guarantees amounting to Shs 41 million (2003: Shs 54 million) on behalf of third parties.

24 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

Profit before income tax	1,750,602	1,677,595
Adjustments for:		
Depreciation of property, plant and equipment (Note 16)	234,571	225,783
Amortisation of prepaid operating lease rentals (Note 17)	4	4
(Profit)/loss on disposal of property, plant and equipment	(6,292)	27,716
Interest income (Note 7)	(8,464)	(27,889)
Interest expense (Note 7)	-	6
Changes in working capital:		
- receivables and prepayments	(319,049)	445,444
- inventories	(159,173)	148,308
- payables and accrued expenses	55,875	137,451
Change in retirement benefit obligations	(27,476)	1,743
Cash generated from operations	1,520,598	2,636,161

Notes (continued)

25 Related party disclosures

The ultimate parent and controlling party of the group is British American Tobacco plc, incorporated in England and Wales. There are other companies that are related to British American Tobacco Kenya Limited through common shareholding or common directorships.

(i) Transactions with related parties

The company receives technical and administrative support from the parent company in areas such as marketing, management training, and research and development. Technical and advisory fees payable to the parent company in respect of these services in the year was Shs 204,107,000 (2003: Shs 174,200,000).

The company pays royalties to related parties for certain cigarette trademarks that are owned by those parties. The royalties are payable at a rate of 5% of the net turnover of the qualifying brands. Total royalties payable in the year were Shs 59,187,000 (2003: Shs 61,859,000).

The company manufactures cigarettes under contract, sells processed tobacco and processes green leaf for related companies. Transactions with related companies are carried out on commercial terms and conditions. The revenue arising from these transactions in the year was Shs 306,608,000 (2003: Shs 248,404,000).

Outstanding balances arising from the transactions with related parties are as follows:

	2004 Shs'000	2003 Shs'000
<u>Receivables</u>		
Fellow subsidiaries	363,584	75,579
<u>Payables</u>		
Parent company	231,963	13,203
Fellow subsidiaries	26,062	10,586
	258,025	23,789
 (ii) Directors' remuneration		
- for services as director	6,622	6,033
- other emoluments	67,416	47,438
	74,038	53,471



Form of Proxy

To
The Secretary
British American Tobacco Kenya Limited
P O Box 30000 - 00100
Nairobi
I/We

.....
.....
.....of P O Box.....

Member/members of British American Tobacco Kenya Limited appoint

.....

or failing him, the Chairman of the meeting as my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on Tuesday 26 April 2005 at 11.00 a.m in the Ball Room, Hotel Intercontinental Nairobi, or at any adjournment thereof.

As witness my/our hand/s this

.....

.....2005

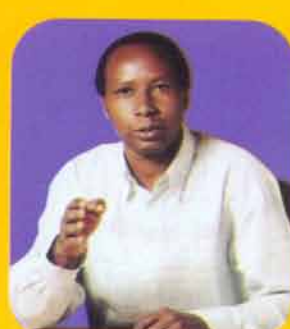
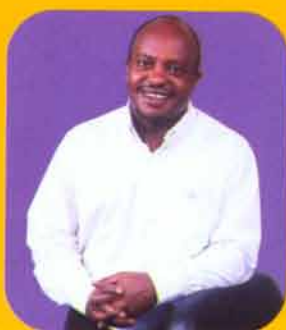
.....

(signature)

Notes:

1. If a member is unable to attend this meeting personally this form of proxy should be completed and returned to reach the Company's Registered Office not later than 2.30 p.m on Monday 25 April 2005
2. A person appointed to act as a proxy need not be a member of the company.
3. If the appointed is a corporation, this form of proxy must be under its common Seal or under the hand of the officer or attorney duly authorised in that behalf.

Top Management Team



From top row, left to right. Simon Welford (Managing Director) • Keli Kiilu (Corporate and Regulatory Affairs Director) • David Kambi (Head of Human Resources) • Edward Irungu (Audit Manager) • Philip Lopokoiyit (Finance Director) • Paul Sine (Finance Manager) • Peter Gaiho (Head of Manufacturing) • Ruth Ngobi (Company Secretary) • Stanley Mugwe (Head of Leaf) • Dan Okumu (Head of Supply Chain) • Wesley Koech (Head of Information Technology) • Kariuki Nguru (Head of Marketing)



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